

ECON 0100 | Vignette A1 | PPF

Colin Creevey can bake 20 cornish pasties (P) or 5 cauldron cakes (C) in one day. Set up Colin's PPF on an x, y graph with pasties (P) on the vertical and cakes (C) on the horizontal. Label the axes and the intercepts.

Q1 | Opportunity Cost

What is Colin's opportunity cost of producing 1 cake? Of 1 pasty?

Opportunity cost of 1C: _____

Opportunity cost of 1P: _____

Q2 | Feasibility

Suppose Colin bakes 10 pasties and 2 cakes in one day. Is this inefficient, efficient, or unattainable? Use a graph or algebra to justify your answer.

Inefficient, Efficient, Unattainable: _____

Q3 | Next Best Alternative

In his free afternoon Colin would rather bake for the Gryffindor party than photograph the Quidditch match, and both of which he'd prefer over taking a nap. What is Colin's opportunity cost of baking?

Opportunity cost of baking before the invitation: _____

Then Dennis invites him to Hogsmeade, which Colin likes more than photographing the match but less than baking. What is his opportunity cost of baking now?

Opportunity cost of baking after the invitation: _____

ECON 0100 | Vignette A2 | Advantages

Colin Creevey can bake 20 cornish pasties (P) or 5 cauldron cakes (C) in one day. Katie Bell also bakes cornish pasties and cauldron cakes at a neighboring bakery. She can bake 15 pasties or 8 cakes in one day.

Q1 | Absolute Advantage

Set up a production table with both Colin and Katie's output per day. Who has the absolute advantage (AA) in pasties? In cakes?

AA in P: _____

AA in C: _____

Q2 | Comparative Advantage

Set up an opportunity cost table with Colin and Katie's opportunity costs for each good. Who has the comparative advantage (CA) in pasties? In cakes?

CA in P: _____

CA in C: _____

Q3 | Better at Both

Suppose Katie buys a new oven and can now bake 25 pasties or 8 cakes in one day. Update both tables. Who has the comparative advantage in each good?

CA in P: _____ CA in C: _____

ECON 0100 | Vignette A3 | Trade

Colin Creevey can bake 20 cornish pasties (P) or 5 cauldron cakes (C) in one day, and Katie Bell, back on her original oven, can bake 15 pasties or 8 cakes.

Q1 | Trade

Suppose Colin and Katie realize they can specialize and trade goods. After they specialize, what is a trade that would make them both better off?

1 C for _____ P

Q2 | Accept or Reject

Katie offers Colin 1 cake for 5 pasties. Does Colin accept? Why or why not?

Accept or Reject: _____

Q3 | Changing Labor

It turns out Colin wants to add hours to his job, so he increases from 5 to 8 hours per day. Set up Colin's old and new PPF on the same graph. What is Colin's new opportunity cost of cake? Write a short description of how this increase in hours would impact the trade with Katie you found in Q1.

New opportunity cost of 1C: _____